

Exam 2P

Course Title: **Inglés IX**
Term: **26-3**
Instructor: **Marron**
Exam Date: **07 July 2026**

General Instructions: Print your name in the upper right-hand corner of this paper. Read each item carefully. Be sure that you understand exactly what is being asked of you. Begin your answers on the backside of this paper if possible and add extra sheets of paper as needed. Be sure to write your name on any and all extra sheets of paper.

Do not look at other student's exams. If you have a question or a request during the exam, raise your hand and the instructor will call on you. Do not leave your desk without permission. When you finish please bring your completed exam to the instructor.

This is a **closed book exam**. Attempt to answer all questions, even if you are uncertain. Whenever possible, provide answers in bullet list format with complete content. Tasks will be evaluated by sub-tasks. Three (3) points are available for each sub-task: Accuracy (1 pt), Completeness (1 pt), and Sufficiency (1 pt). Points will be awarded in 0.1 increments. Answer in English unless requested to do so otherwise.

Task 1 (6 pts)

Traditional economics is defined as the study of choice under conditions of scarcity. All choice carries an opportunity cost.

Evaluate the statement above by answering the following questions.

1. According to economics, what is scarce?
2. Do you agree with economics' axiom of scarcity?
3. Briefly explain why opportunity cost results from choice.

Task 2 (6 pts)

The modern World Order, which has operated relatively successfully for nearly 70 years, is arguably falling apart. That is, the global mechanisms of geopolitical and financial institutions that were implemented by Western powers after World War II, and even the nation-state itself, are all currently under siege^{1,2}.

1. Briefly explain what were the intentions of the US and European Allies for creating the World Order after WWII.
2. Briefly explain what events and pressures have contributed, and are currently contributing, to the collapse of the World Order
3. Briefly state your perspective on the state of the current and the future world order.

1 Grant, M. L. (2022). The world order in crisis. *Horizons: Journal of International Relations and Sustainable Development*, (21), 124-133.

2 <https://www.weforum.org/stories/2026/01/heads-of-state-gathering-davos-2026-what-they-saying/>

Task 3 (6 pts)

Amartya Sen's, *Freedom as Development* redefines and broadens the fundamental concepts underlying the process of development. In so doing Sen creates a useful roadmap for humanity's well-being. Well-being is an oft-stated desiderata for economics.

1. Sen notes that "unfreedoms" rob individuals of agency and therefore contribute to miseries of one kind or another. List three (3) broad categories of unfreedoms and in each case briefly explain why agency is diminished.
2. List three (3) distinct types of freedoms that are fundamental for development. and briefly explain why these freedoms are synergistic.
3. Sen argues that development must have a broader definition than simply economic enhancement. What is Sen's definition of development?

Task 4 (6 pts)

Free trade has been the darling of neoliberal economics for decades. Herman Daly vehemently opposes unilateral free trade. His arguments are presented in the article, *The Perils of Free Trade*³, which we read in class. Answer the following questions about the article.

1. Briefly, what is meant by the term, free trade?
2. What is the modern reality of capital that undermines and invalidates a fundamental premise of Ricardo's theory of comparative advantage?
3. Free trade seems to fly under the banner, "Privatize the profits and externalize the costs." What does this slogan mean?
4. Who are the real beneficiaries of free trade? Why?
5. Neoliberal economists have neglected the reality of the relationship between the economy and the biosphere. How is a steady-state economy analogous to an organism and why is a steady-state economy absolutely required for sustainability?
6. Do you think a binding, international legal system that requires corporate full cost accounting would fix the problems created by free trade?

3 Daly, H. E. (1993). The perils of free trade. *Scientific American*, 269(5), 50-57.n